

The expense ratios differ according to type of product you buy. They are low for debt-oriented products and high for equity-oriented products.

Ask the seller: What does this product cost annually to hold? Remember that the fund manager makes money even when you make a loss. That's the nature of financial products.

Third, cost of exiting the product, or an 'exit load', which is the cost the fund manager charges to take care of the costs of exit. Most debt funds have zero exit cost, and most equity funds have an exit cost of 1 per cent if you leave before one year. Exit costs are very high for insurance products – if you leave midway, you lose a big chunk of your money. If you leave in the first three years in a money-back plan, you lose all your money. Ask the seller: What does it cost to exit the product?

We must learn to look at costs of a financial product differently than the cost of a car or a packet of chips. When you buy a packet of chips (visible) or even a mobile plan (invisible) the seller has a sales commission embedded in the price that he charges you. We don't worry too much about these commissions because if you don't like the chips or the mobile service, you simply go to another brand next time.

But a financial product is usually a long-term deal and you will find out maybe five to ten – or even thirty – years later (pension products, for example) if the product was good for you or not. Commissions in investment products encourage sellers to maximize their income rather than your financial well-being. Therefore you need to choose products with zero or very tiny front costs. Ongoing costs over a long period also will cost you a lot.

For example, the difference of just 1 percentage point in costs can reduce your final corpus by more than 25 per cent over a forty-year period. We don't worry about costs in a guaranteed-return product like the FD, because you buy the product on the basis of the net return that is disclosed.

Return

What does it return? The purpose of an investment product is to give you a return. You should know what a product returns, either definitely in a